# ALGOZ DIGITAL ASSET FUND

## INNOVATIVE THINKING - UNPARALLELED RETURNS

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# LEADING QUANTITATIVE HEDGE FUND CRYPTO

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The benchmark figures in this presentation were secured from public sources which are believed to be reliable by the Fund . We make no representation as to the accuracy of such information. *Barclay Hedge Cryptocurrency Traders Index* is the leading benchmark for cryptocurrency funds' performance data, representing over 45 leading crypto funds. *Standard & Poor's Dow Jones index (S&P 500)*, is regarded as the principle investment vehicle for exposure to the U.S. equities market, making the S&P 500 the ideal representation & benchmark of comparing traditional equity investments to alternative investments. *Comex's Gold Dec 20 (GC=F) Index* offers global gold price discovery and is used in this presentation as a benchmark due to shared characteristics of these alternative investment options as store of value. The *Yahoo Finance Bitcoin USD (BTC-USD) Index* follows the price of Bitcoin, which, since its invention in 2008, has been the top crypto asset and the representation of the decentralized economy. Bitcoin pricing, setting the tone for the entire industry, is a metric commonly used by digital asset investors to measure the performance of their portfolios and trading strategies.

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# ALGOZ DIGITAL ASSET FUND

## LONG SHORT STRATEGY

**STRATEGY.** PAIRING TWO DIGITAL CURRENCIES IN LONG AND SHORT POSITIONS *(MARKET NEUTRAL POSITION)*

**VALUE.** CAPITALIZING ON MARKET VOLATILITY TO GENERATE GREATER PROFIT REGARDLESS OF MARKET DIRECTION

### TEST ACCOUNT[1]

(Since Feb 12, 2020)

| | |
|---|---|
| **108%** FEB12, 2020 TO-DATE[2] | **$1.2M** AUM |
| **14.5%** BEST MONTH | **-4.4%** WORST MONTH |

### BACKTEST PERIOD

(Since Jan 1, 2017)

| | |
|---|---|
| **157%** ANNUALIZED RETURN | **2.87** SHARPE RATIO |
| **25x** RETURN ON INVESTMENT | **80%** POSITIVE MONTHS |

**ALL PRESENTED RESULTS ARE GROSS OF FEES**

[1] Results are based on Algoz's trading activity in a test account, which is not a part of the fund.

**PAST PERFORMANCE IS NOT INDICATIVE OF FUTURE RESULTS**

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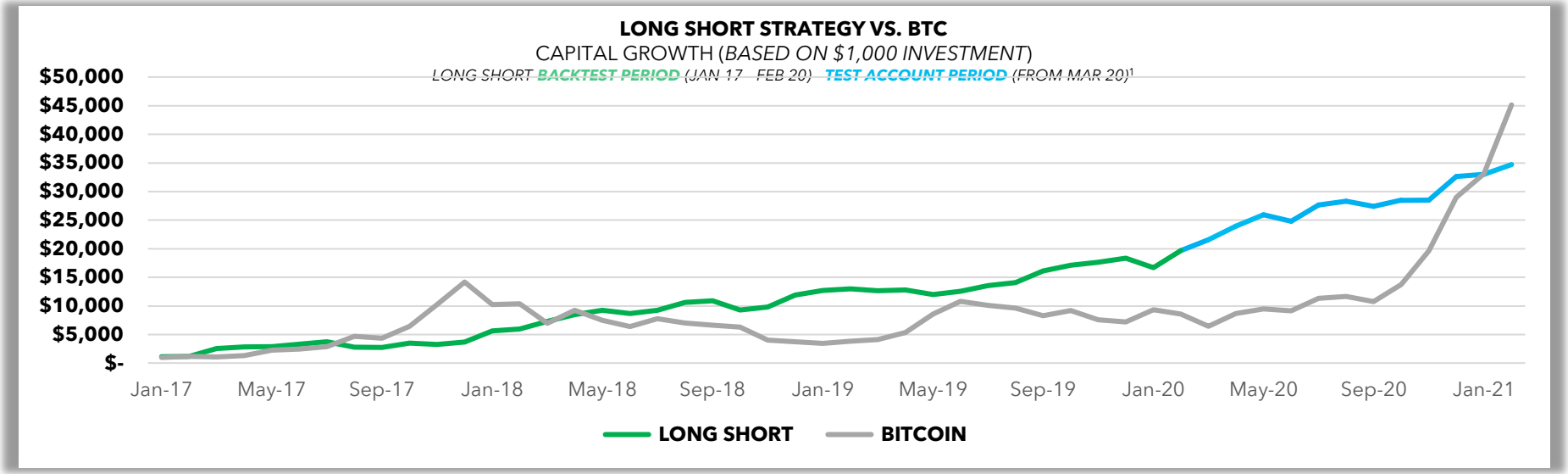
# WINNING STRATEGY IN VOLATILE MARKETS

## LONG SHORT STRATEGY PERFORMANCE OVERVIEW




| | ANNUALIZED RETURN (Since 01/01/17) | TOTAL RETURN (Since 01/01/17) | YEAR-TO-DATE |
|---|---|---|---|
| **ALGOZ DIGITAL ASSET FUND[1]** | 134% | 3,372% | 6% |
| **BITCOIN** | 152% | 4,587% | 56% |
| **GOLD[2]** | 10% | 51% | -8% |
| **S&P 500[2]** | 14% | 70% | 1% |

**ALL PRESENTED RESULTS ARE GROSS OF FEES**

[1] Results are based on Algoz's backtest from Jan 1, 2020 until Feb 11, 2020 and live trading in a test account from Feb 12, 2020 to February 28, 2021, which is not a part of the fund.

[2] The 'GOLD' & 'S&P 500' performance metrics take dividend-reinvestments into account. Actual performance of the index may differ.

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# WINNING STRATEGY IN VOLATILE MARKETS

## LONG SHORT STRATEGY MONTHLY PERFORMANCE

| LONG SHORT[1] | JAN | FEB | MAR | APR | MAY | JUN | JUL | AUG | SEP | OCT | NOV | DEC | YEAR-TO-DATE |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **2021** | 1.1% | 5.2% | | | | | | | | | | | **6%** |
| **2020** | -9.0% | 18.0% | 9.5% | 11.1% | 8.2% | -4.4% | 11.5% | 2.4% | -3.2% | 4.0% | 0.04% | 14.5% | **78%** |
| **2019** | 6.8% | 2.1% | -2.4% | 1.0% | -6.1% | 4.6% | 8.2% | 3.5% | 14.6% | 6.2% | 3.2% | 3.9% | **54%** |
| **2018** | 53.6% | 5.6% | 22.2% | 16.4% | 8.6% | -6.2% | 6.8% | 14.9% | 2.8% | -14.8% | 5.8% | 20.9% | **223%** |
| **2017** | 12.2% | 4.1% | 120.6% | 11.1% | 1.1% | 14.8% | 12.1% | -25.0% | -1.1% | 27.4% | -6.6% | 11.9% | **268%** |

| BITCOIN | JAN | FEB | MAR | APR | MAY | JUN | JUL | AUG | SEP | OCT | NOV | DEC | YEAR-TO-DATE |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **2021** | 14.2% | 36.3% | | | | | | | | | | | **56%** |
| **2020** | 30.0% | -8.0% | -25.1% | 34.5% | 9.3% | -3.1% | 23.6% | 3.2% | -7.7% | 27.3% | 42.9% | 47.8% | **303%** |
| **2019** | -7.6% | 11.5% | 6.5% | 30.3% | 60.3% | 26.2% | -6.8% | -4.5% | -13.9% | 10.9% | -17.7% | -5.0% | **82%** |
| **2018** | -27.8% | 1.7% | -32.9% | 32.5% | -18.9% | -14.5% | 21.5% | -9.5% | -5.9% | -4.6% | -36.4% | -6.8% | **-71%** |
| **2017** | 0.8% | 21.6% | -9.2% | 25.8% | 69.6% | 8.5% | 15.9% | 63.6% | -7.8% | 49.1% | 58.2% | 38.3% | **1,325%** |

**ALL RESULTS ARE GROSS OF FEES**

[1] The table presents monthly return figures from Algoz's backtest (Jan 1, 2017 – Feb 11, 2020) and Algoz's trading activity in a test account (Feb 12, 2020 – February 28, 2021), which is not a part of the fund.

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# WINNING STRATEGY IN VOLATILE MARKETS

## LONG SHORT STRATEGY PERFORMANCE

### ALGOZ DIGITAL ASSET FUND ESSENTIALS[1]

| | | | |
|---|---|---|---|
| **POSITIVE MONTHS** | 40 | **AVG. DAILY PROFIT** | 0.3% |
| **NEGATIVE MONTHS** | 10 | **PROFIT PER DEAL** | 1.4% |
| **AVERAGE MONTHLY PROFIT** | 8.7% | **MAX. DRAW DOWN** | 34.5% |
| **BEST MONTHLY RETURN** | 120.6% | **SHARPE RATIO[2]** | 2.44 |
| **WORST MONTHLY RETURN** | -25% | **TOTAL YIELD** | 3,371.5% |

**ALL RESULTS ARE GROSS OF FEES**

[1] The results are inclusive of Algoz's backtest (Jan 1, 2017 – Feb 11, 2020) and Algoz's trading activity in a test account (Feb 12, 2020 – February 28, 2021), which is not a part of the fund.

[2] Bitcoin's sharpe ratio for the 1st of March (2021) is **0.68**. This figure accounts for a 3-year investment period.

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# WINNING STRATEGY IN VOLATILE MARKETS

## LONG SHORT STRATEGY PERFORMANCE BREAKDOWN

### MARCH 12, 2020

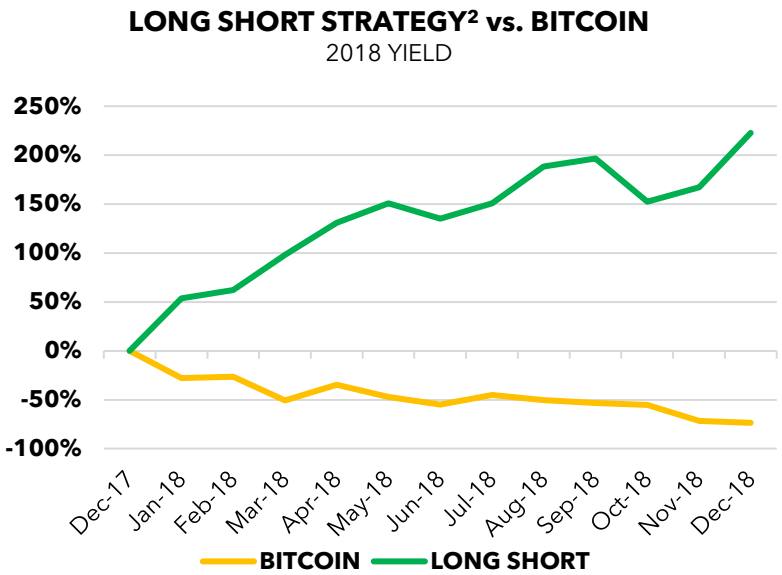
**Bitcoin lost 37% of its value** in a single day. The largest one-day drop in Bitcoin's price since 2013 was triggered by the World Health Organization's announcement of COVID-19 becoming a pandemic (i.e. a global health crisis). On that date, our strategy had **positive returns of 0.5%,** which is higher than our **avg. daily profit (0.30%)**.

Altogether, the **Long Short strategy saw a return of 9.5%** in March, while the **Cryptocurrency Traders Index[1] declined by 11.2%** and **Bitcoin** shed **25%** of its value.

### 2018

Coming out of the ICO boom of 2017, Bitcoin's value stood at $14,112 on the 1st day of 2018. With a sharp annual decline of **73%**, Bitcoin's value on January 1st, 2019 was $3,746.

In the same year Algoz's **Long/Short strategy** amassed returns of **223%**, while the **Cryptocurrency Traders Index's[1]** 2018 depreciated by **62.6%**.




[1] The BarclayHedge Cryptocurrency Traders Index represents the average monthly return of the crypto hedge funds constituent in the index. As of March 2021, BarclayHedge houses 59 cryptocurrency funds in its database.

[2] Long Short trading results presented in the graph are based on Algoz's backtest.

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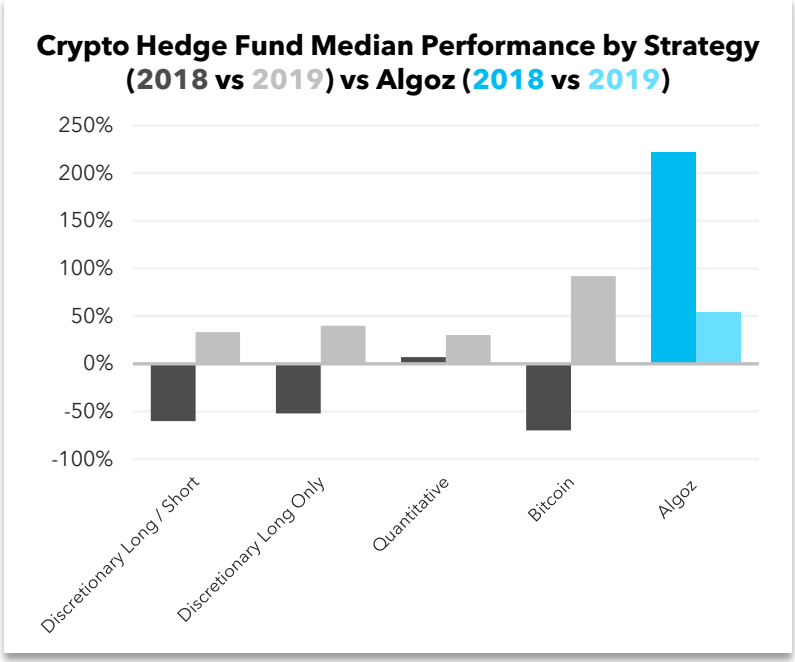
# WINNING STRATEGY IN VOLATILE MARKETS

## ALGOZ LONG SHORT STRATEGY vs. MEDIAN




| 2019 Year-End Performance | Average | Median |
|---|---|---|
| Discretionary Long / Short | +33% | +33% |
| Discretionary Long Only | +42% | +40% |
| Multi-Strategy | +19% | +15% |
| Quantitative | +58% | +30% |
| Algoz - Long Short | **+54%** | **+54%** |

*Source: 2020 Hedge Fund Report (PwC & Elwood)*

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# EXPERIENCE
# PRACTICE MAKES PERFECT

**TEAM**

+15 YEARS OF DEVELOPING TRADING ALGORITHMS

**DIGITAL ASSTES**

+3 YEARS OF FACILITATING TRADING OPPORTUNITIES IN DIGITAL ASSETS MARKETS

**MARKET MAKING**

+70 CLIENTS, INCLUDING LEADING DIGITAL ASSETS EXCHANGES AND PROJECTS

**CAPITAL MARKETS**

TRADING ALGORITHMS DEPLOYED IN MAJOR MARKETS (NASDAQ, NYSE ETC)

**DIGITAL CURRENCIES**

+400 MARKET PAIRS TRADED

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# HIGHER REWARDS.
# LOWER RISKS.

## SUCCESSFUL STRATEGIES

HIGH AND STEADY RETURNS

## DIVERSIFIED STRATEGIES

CAPITALIZING ON BOTH MARKET VOLATILITY AND TRENDS

## LEADING MARKETS

BINANCE, KRAKEN, HUOBI, COINBASE PRIME, CME (COMING SOON)

## LIQUID ASSETS

MINIMUM SLIPPAGE

## MID FREQUENCY

SCALABLE STRATEGIES

## RISK MANAGEMENT

60%-100% NET EXPOSURE

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# ALGOZ RISK MANAGEMENT

### STRATEGY RISK

- ONLINE SIMULATION
- MULTIPLE MODELS
- BACK TESTING THROUGH HIGHLY VOLATILE PERIODS

### OPERATIONAL RISK

- STRATEGIES ARE NOT LATENCY SENSITIVE
- ALGORITHMIC ORDER EXECUTION
- SERVER REDUNDANCY
- HUMAN OVERSIGHT

### TRADING RISK

- TOP-10 LIQUID DIGITAL ASSETS
- TIER-1 EXCHANGES & OTC POOLS
- CONTROLLED TRADE
- MULTIPLE ACCOUNTS

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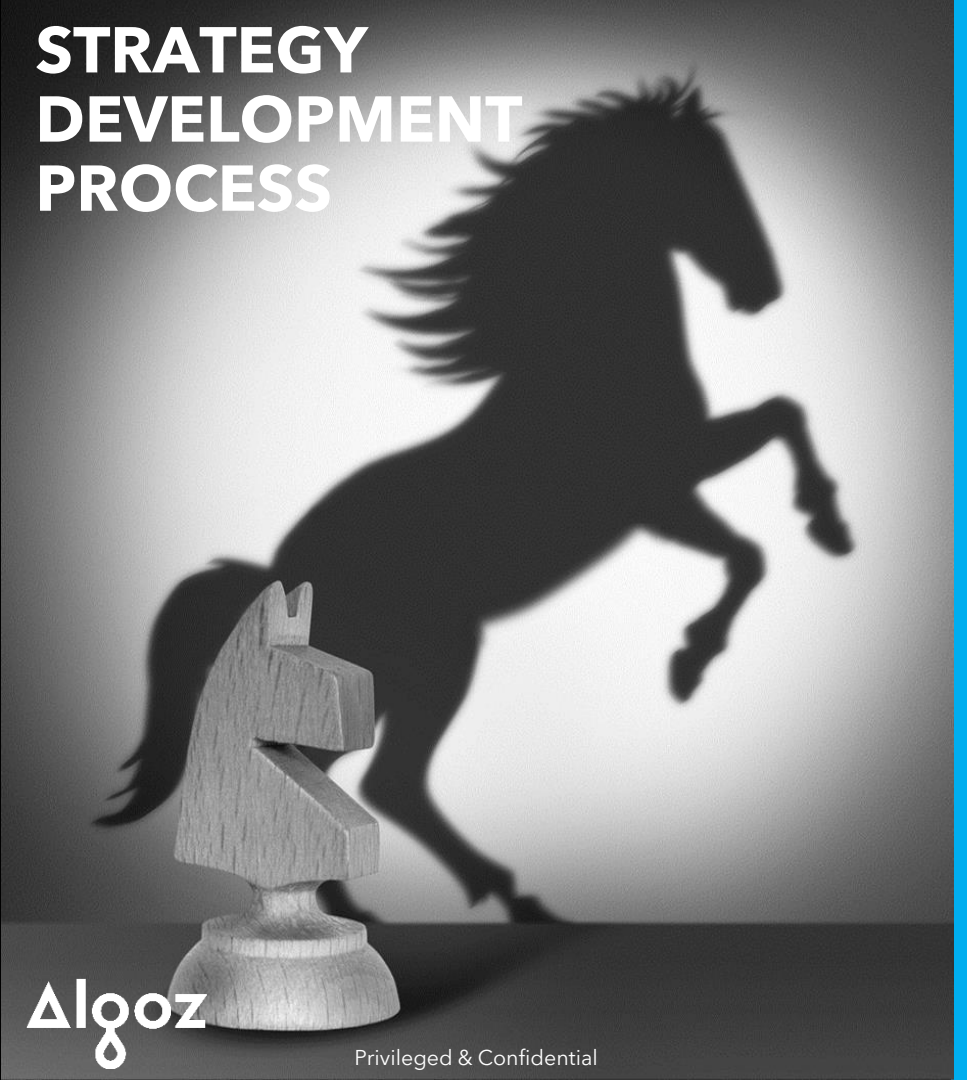
# STRATEGY DEVELOPMENT PROCESS



1 **BACKTEST**
self recorded historical market.

2 **DEFINE**
operational, risk parameters & trading volumes.

3 **LIVE**
test with nostro funds.

4 **ADJUST**
& finalize risk and strategy parameters.

5 **LAUNCH**
& continued improvement to maximize returns and minimize risk.

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# ALGOZ DIGITAL ASSET FUND

## FUND STRUCTURE & TERMS

| DETAILS | | TERMS | | SERVICE PROVIDERS | |
|---|---|---|---|---|---|
| **DOMICILE** | CAYMAN ISLANDS | **MANAGEMENT FEE** | 1% | **FUND** | LTD |
| **SUBSCRIPTION CURRENCY** | USD | **PERFORMANCE FEE** | 30% | **INVESTMENT MANAGER** | AK JENSEN INVESTMENT MANAGEMENT LTD. |
| **DENOMINATION** | USD | **REDEMPTION PERIOD** | MONTHLY (14 DAYS NOTICE) | **ADMINISTRATOR** | APEX FUND SERVICES (MALTA) LTD. |
| **HIGH WATER MARK** | YES | **LOCK-UP PERIOD** | 3 MONTHS | **AUDITOR** | RICHIE MAY & CO. |
| **MINIMUM TICKET** | $100,000 | **EARLY REDEMPTION FEE** | 5% | **LEGAL** | AK JENSEN INVESTMENT MANAGEMENT LTD. & APPLEBY (CAYMAN) LTD. |

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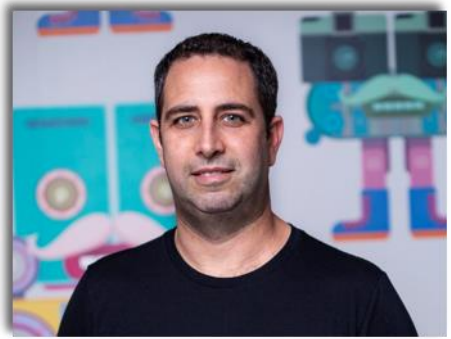
# ALGOZ TEAM
# SENIOR EXECUTIVES

## YARIV EISENBERG

**CO-FOUNDER OF ALGOZ; 8200 Veteran**

- Over 18 years of experience in the development of high speed real time systems and advanced algorithms
- Member of Samsung's telecom research center Israel foundation team



## TAL TEPERBERG

**CO-FOUNDER & CEO OF ALGOZ**

- Former Head of Business Development at Sivron Technologies
- Over 15 years of experience in the capital markets

## ALON KARNIEL

**FUND MANAGER OF ALGOZ DIGITAL ASSET FUND**

- Former Head of BizDev and Legal of Fingenom Ltd., partner in a leading Israeli law firm and Corporate Legal Counsel of Orbotech Ltd.
- Over 15 years of experience in supporting hi-tech companies



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# THANK YOU

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